[COMPANY NAME]

ANNUAL FINANCIAL STATEMENTS

For the year ended [YEAR END]

GENERAL INFORMATION

Country of Incorporation and Domicile	South Africa
Nature of Business and Principal Activities	[NATURE OF BUSINESS]
Directors	[DIRECTOR NAMES]
Registered Office	[REGISTERED ADDRESS]
Postal Address	[POSTAL ADDRESS]
Reporting Currency	South African Rand
Compiler	VDM Chartered Accountants
Preparer	The financial statements were prepared under the supervision of Leon van der Merwe BComm. Honns. CA (SA) in his capacity as an independent professional accountant.
Issued	[DATE OF ISSUE]

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26A Kerk Street
Standerton
2430

CHARTERED ACCOUNTANTS
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Registered Chartered Accountants

Directors: R de Beer BCompt PGDip AAS CA (SA) RA
L van der Merwe BCom Hons CA (SA) RA
HL van der Merwe BAcc PGDip AAS CA (SA)
R Wolmarans BCompt FAC (Cum Laude) PGDA CA (SA)

THE CHARTERED ACCOUNTANT'S (SOUTH AFRICA) DECLARATION

The following annual financial statements of [COMPANY NAME], as presented on pages 5 to 12, have been independently compiled by a Chartered Accountant (South Africa) [CA(SA)]. Refer to compilation report on page 3.

Use of the CA(SA) designation is governed by the *Chartered Accountants Designation (Private) Act*, 1993 (Act 67 of 1993), which regulates and permits the use of the CA(SA) designation exclusively by members of The South African Institute of Chartered Accountants (SAICA). Use of the designation without SAICA membership is consequently a criminal offence, and misuse is subject to legal action.

SAICA is the premier accountancy body in South Africa and one of the leading chartered accountancy institutes in the world and all members must comply with the Code of Professional Conduct which conforms to the code released by the International Ethics Standards Board for Accountants (IESBA). The SAICA code and definitions contained therein are consistent in all material aspects with the International Federation of Accountants' (IFAC) code as well as the Independent Regulatory Board for Auditors (IRBA) code.

The following fundamental principles are embodied in the SAICA Code of Professional Conduct and are to be upheld by all CA's(SA) at all times.

- **Integrity** — a duty to be straightforward and honest in all professional and business relationships.
- **Objectivity** — a duty to not allow bias, conflict of interest or undue influence of others to override professional or business judgments.
- **Professional competence and due care** — a duty to maintain professional knowledge and skill at the level required to ensure that a client receives competent professional services based on current developments in practice, legislation and techniques and act diligently and in accordance with applicable technical and professional standards.
- **Confidentiality** — a duty to respect the confidentiality of information acquired as a result of professional and business relationships and, therefore, not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose, nor use the information for the personal advantage of the chartered accountant or third parties.
- **Professional behaviour** — a duty to comply with relevant laws and regulations and avoid any action that discredits the accountancy profession.

A distinguishing characteristic of CA's(SA) are their responsibilities and duties which extend beyond the needs of individual clients and also includes the public as a whole.

Accordingly, this declaration serves to confirm that the above mentioned financial statements have been prepared by a CA(SA) who has observed and complied with the SAICA Code.

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L VAN DER MERWE

CHARTERED ACCOUNTANT (SA)

[DATE SIGNED]

DIRECTORS' RESPONSIBILITIES AND APPROVAL

The directors are required in terms of the Companies Act 71 of 2008, to maintain adequate accounting records and are responsible for the content and integrity of the financial statements and related financial information included in this report. It is their responsibility to ensure that the financial statements fairly present the state of affairs of the entity as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with International Financial Reporting Standards for Small and Medium-sized Entities and the requirements of the Companies Act of South Africa.

The financial statements are prepared in accordance with International Financial Reporting Standards for Small and Medium-sized Entities and the requirements of the Companies Act of South Africa and are based upon appropriate accounting policies consistently applied and supported by reasonable and prudent judgments and estimates.

The directors acknowledge that their are ultimately responsible for the system of internal financial control established by the entity and place considerable emphasis on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the entity and all employees are required to maintain the highest ethical standards in ensuring the entity's business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the entity is on identifying, assessing, managing and monitoring all known forms of risk. While operating risk cannot be fully eliminated, the entity endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The directors are of the opinion, based on the information and explanations given by management that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The directors have reviewed the cash flow forecast for the year and, in the light of this review and the current financial position, they are satisfied that the entity has access to adequate resources to continue in operational existence for the foreseeable future.

The financial statements set out on pages 5 to 12, which have been prepared on the going concern basis, were approved by the board on [DATE APPROVED] and are signed on its behalf:

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INDEPENDENT COMPILER'S REPORT

To the Shareholders of [COMPANY NAME]

Report on the Financial Statements

We have compiled the annual financial statements of [COMPANY NAME] based on information the entity provided. These financial statements are presented in accordance with the financial framework described in the accounting policy in these financial statements. The financial statements comprise of the statement of financial position as at [YEAR END] and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, and the directors' report, as set out on pages 5 to 12.

Directors' Responsibility for the Financial Statements

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards for Small and Medium-sized Entities and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Independent Compiler's Responsibility

We performed this compilation engagement in accordance with *International Standard on Related Services 4410 (Revised), Compilation Engagements.* This Standard requires that we comply with quality control standards and relevant ethical requirements, including ethical principles of integrity, objectivity, professional competence and due care.

A compilation engagement involves applying expertise in accounting and financial reporting to assist management in preparing and presenting financial information. A compilation engagement does not involve gathering evidence for the purpose of expressing an opinion or a review conclusion. Accordingly, we do not express an audit opinion or a review conclusion on these financial statements.

L VAN DER MERWE

CHARTERED ACCOUNTANT (SA)

[DATE SIGNED]

[COMPANY NAME]

DIRECTORS' REPORT

The directors have pleasure in presenting their report for the year ended [YEAR END].

BUSINESS ACTIVITIES AND GENERAL REVIEW OF OPERATIONS

The main business of the company is [NATURE OF BUSINESS] and income of the company is generated mainly from [MAIN INCOME SOURCE].

No material fact or circumstance has occurred since the financial position and the date of this report.

SPECIFIC MATTERS

No major change in the nature of the company's business took place during the accounting period.

There were no changes in the authorised or issued share capital of the company during the year under review.

No dividend was declared or paid during the year.

No major change in the nature of the company's fixed assets or in the policy relating to the use thereof, took place during the accounting period.

The company realised a profit after tax of R [PROFIT/LOSS] for the year ended [YEAR END] ([PREVIOUS YEAR END] — profit of R [PREV PROFIT/LOSS]). The directors expect that the company will be profitable in future. Accordingly the annual financial statements of the company are prepared on the basis of accounting policies applicable to a going concern.

The directors of the company are: [DIRECTOR NAMES]

The postal address is: [POSTAL ADDRESS]

The registered address is: [REGISTERED ADDRESS]

The company has no parent company in or outside the Republic.

The financial statements were approved and signed by the directors.

DIRECTORS:

_____

[DATE APPROVED]

[COMPANY NAME]

NOTES FOR THE YEAR ENDED [YEAR END]

1. ACCOUNTING POLICY — GENERAL FRAMEWORK

The annual financial statements are presented in accordance with International Financial Reporting Standards for Small and Medium-sized Entities and are prepared on the historical cost basis. The principal policies are consistent with those applied in the previous year, except where indicated otherwise.

1.1. PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment are stated at cost, including the cost to prepare the assets for their intended use, less accumulated depreciation. Property, plant and equipment, with the exception of land and buildings and personal assets, are depreciated in equal annual amounts to write off each asset over its estimated useful economic life. Investment properties are not depreciated. Other assets are depreciated at the following rates:
Farming Equipment — 50% / 30% / 20%
Vehicles — 50% / 30% / 20%
Medical Equipment — 50% / 30% / 20%
Furniture and Fittings — 50% / 30% / 20%
Office Equipment — 50% / 30% / 20%
Computer Equipment — 50% / 30% / 20%

Land and buildings are valuated from time to time to ensure that the net realisable value of these assets still exceeds the original cost of the property. Should the realisable value be less than the original cost the assets will be revalued to the realisable value.

1.2. INVESTMENTS

Investments are stated at cost to the entity, less amounts written off as permanent diminution in the value of investments.

1.3. INTANGIBLE ASSETS — CRYPTO ASSETS

A crypto asset is a digital representation of value that is not issued by a central bank, but is traded, transferred and stored electronically by natural and legal persons for the purpose of payment, investment and other forms of utility, and applies cryptography techniques in the underlying technology. The crypto assets are measured at cost on initial recognition and are subsequently measured at cost less accumulated amortisation and impairment losses.

1.4. GOODWILL

Goodwill is carried at cost to the entity, less amounts written off as permanent diminution in the value of Goodwill.

1.5. ASSOCIATED COMPANIES AND SUBSIDIARIES

Investments in subsidiaries and associated companies are carried at cost, less amounts written off as permanent diminution in the value of these investments. The results of the Subsidiaries are not consolidated in the financial statements of the holding company as per the decision of the directors.

NOTES FOR THE YEAR ENDED [YEAR END] — CONTINUED

1.6. LONG TERM LOANS GRANTED

Long term loans are carried at nominal value. Loans to related parties are carried at nominal value and no short term portion is recognised as there is no fixed repayment schedule determined on these loans.

1.7. BIOLOGICAL ASSETS

Biological assets which consists of different components are accounted for as follows:

1.8. INVENTORY

Inventory is stated at the lower of cost or net realisable value. The cost of inventory is generally determined by means of the first-in-first-out method, with production costs, which includes direct labour, an appropriate portion of overheads and other direct costs, but excludes interest. Net realisable value is the estimate of the selling price, less the costs of completion and selling expenses. Write-offs are made in the valuation for obsolete, unusable and unsalable inventory and for latent damage first revealed when stock items are taken into use or offered for sale.

1.9. TRADE AND OTHER RECEIVABLES

Trade and other receivables are carried at nominal value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off during the year in which they are identified.

1.10. CASH AND CASH EQUIVALENTS

For purposes of the statement of cash flow, cash and cash equivalents comprise cash on hand, deposits held at call with banks and investments in money market instruments, and net of bank overdrafts.

1.11. PROVISIONS

Provisions are recognised when the entity has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

1.12. LONG TERM LOANS

Long term loans are carried at nominal value less the short term portion of the loan. Loans from related parties are carried at nominal value and no short term portion is recognised as there is no fixed repayment schedule determined on these loans.

1.13. DEFERRED TAXATION

Deferred taxation is provided, using the liability method, for all temporary differences arising between the tax basis of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation. No deferred taxation asset is recognised.

NOTES FOR THE YEAR ENDED [YEAR END] — CONTINUED

1.14. TRADE AND OTHER PAYABLES

Trade and other payables are carried at nominal value.

1.15. DIVIDENDS RECEIVED

Dividends are recognised when the right to receive payment is established.

1.16. INTEREST RECEIVED

Interest is accrued on a time-proportion basis, recognising the effective yield on the underlying assets.

1.17. PRODUCT SALES

Sales are recognized upon delivery of products and customer acceptance and stated as net income after value added tax and discount.

1.18. REVENUE RECOGNITION

Revenue is recognized upon delivery and represents amounts received or receivable for operations in the normal course of business and is stated as net income after value added tax and discount.

1.19. REVENUE RECOGNITION (BODY CORPORATE)

The ordinary levies are accounted for on a straight-line basis over the financial year and decided amongst the section owners on a participation quota basis. The annual ordinary levies are agreed and approved by the members, directors, trustees of the body corporate's, close corporation's, company's annual general meeting.

1.20. EXPENSES (BODY CORPORATE)

Expenses are acknowledged on the accrual basis as they occur.

NOTES FOR THE YEAR ENDED [YEAR END] — CONTINUED

1.21. LEASED ASSETS

Leases are classified as finance leases where substantially all risks and rewards associated with ownership of an asset are transferred from the lessor to the entity as lessee. Assets classified as finance leases are capitalised at their cash cost equivalent, with the related lease obligation recognised at the same value. Capitalised leased assets are depreciated over their estimated useful lives, limited to the duration of the lease agreement. Finance lease payments are allocated, using the effective interest rate method, between finance costs and the capital repayment which reduces the liability to the lessor.

Operating leases are all leases not classified as finance leases. Operating lease rentals are charged against operating profits as they become due.

10. COMPARATIVE FIGURES

No comparative figures are available as the company only started trading in the current year.

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The Directors

[COMPANY NAME]

[POSTAL ADDRESS]

APPOINTMENT TO PROVIDE SERVICES

Following our recent discussion with you, we are pleased to confirm acceptance of our engagement to provide accounting, taxation and secretarial services to you. This letter sets forth our understanding of the terms and objectives of our engagement, and the nature and scope of the services we will provide. This letter is effective as from [DATE SIGNED] and does not need to be completed annually, but only when amendments are to be made.

Accounting records; preparing of financial statements; taxation and secretarial services:

All the above duties are the responsibility of the directors of [COMPANY NAME] as set out in various different acts and laws including but not limited to the Companies Act, Income Tax Act, Labour Act, etc. We will assist you in various ways to fulfill your responsibilities.

We will prepare accounting records, financial statements and cash-flow projections as per your request. We will also prepare and submit various returns on your behalf including income tax, dividend tax, PAYE, IRP5 reconciliations, VAT, UIF, workmen's compensation, etc. as per your request. We will assist you with the secretarial services of your entity as prescribed by the various acts applicable on your request.

All the above services will be based on the information supplied by you. Any enquiries and investigations that we may undertake in respect of supporting evidence are for the purpose of enabling us to adequately provide you with the services alone, and therefore do not fall outside the description of our appointment.

We may also be obliged to take certain action if, during the performance of our duties as accountants and tax practitioners, we become aware of contraventions of the Prevention of Organized Crime Act 121 of 1998 and the Financial Intelligence Centre Act 38 of 2001.

Deadlines:

As all or most of our services have to be completed at a certain date, we request that information is supplied to us in advance, taking the time that we need to complete the work into consideration. We will as far as possible send reminders of deadlines, but the responsibility to supply the relevant documentation before the deadline, lies with you.

Excluded services:

This letter only relates to services as described and does not extend to services such as audits and reviews of financial statements.

Disclosure of information and authority

You hereby authorise and give consent to us to disclose, submit and provide any information, documents or records relating to your affairs to any third party where this is required or reasonably necessary in order to perform the services agreed to in terms of this engagement. This includes,

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The Directors

[COMPANY NAME]

[POSTAL ADDRESS]

ENGAGEMENT LETTER TO REVIEW FINANCIAL STATEMENTS

The objective and scope of the review and our responsibilities

You have requested that we review the financial statements of [COMPANY NAME] for the year ended [YEAR END], comprising the statement of financial position, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, and the directors' report. We are pleased to confirm our acceptance and our understanding of this review engagement by means of this letter. We will conduct our review in accordance with International Standard on Review Engagements (ISRE) 2400 — Engagements to Review Financial Statements. ISRE 2400 requires us to conclude whether anything has come to our attention that causes us to believe that the financial statements, taken as a whole, are not prepared in all material respects in accordance with the applicable financial reporting framework or stated accounting policies. ISRE 2400 also requires us to comply with relevant ethical requirements. A review of financial statements in accordance with ISRE 2400 consists primarily of making inquiries of management and others within the entity that are involved in financial and accounting matters, applying analytical procedures and evaluating the sufficiency and appropriateness of their view evidence obtained. A review may also include any other procedures we consider necessary in the circumstances of the engagement to obtain sufficient and appropriate evidence as the basis for our conclusion on the financial statements as a whole. The procedures selected will depend on what we consider necessary, applying our professional judgment, based on our understanding of the entity and its environment, and our understanding of the applicable financial reporting framework or stated accounting policies and its application in the circumstances. We will not perform an audit of the financial statements. As we are engaged to review the financial statements:

There is a commensurate higher risk that any material misstatements that exist in the financial statements reviewed may not be revealed by the review, even though the review is properly performed in accordance with ISRE 2400. The procedures performed in a review engagement do not provide all the evidence that would be required in an audit.

In expressing our review conclusion, our report on the financial statements will state that an audit has not been performed and that we do not express an audit opinion on the financial statements.

Responsibilities of the directors

The directors are responsible for the calculation of the public interest score in accordance with Regulation 26 of the Companies Regulations, 2011. The entity's public interest score should be calculated by the directors at year-end for the current financial year. It is the sole responsibility of the directors to determine the appropriateness of a review engagement in the circumstances of the company, in compliance with the requirements of the Companies Act, 2008, and taking

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Registered Auditors

Directors: R de Beer BCompt PGDip AAS CA (SA) RA L van der Merwe BCom Hons CA (SA) RA

The Directors

[COMPANY NAME]

[POSTAL ADDRESS]

ENGAGEMENT LETTER TO AUDIT FINANCIAL STATEMENTS

The objective and scope of the audit and our responsibilities

You have requested that we audit the financial statements of [COMPANY NAME] for the year ended [YEAR END], comprising the statement of financial position, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, and the directors' report. Our audit will be made with the objective of our expressing an opinion on the financial statements. We will conduct our audit in accordance with International Standards on Auditing (or refer to relevant national standards or practices). Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. Because of the test nature and other inherent limitations of an audit, together with the inherent limitations of any accounting and internal control system, there is an unavoidable risk that even some material misstatements may remain undiscovered. In addition to our report on the financial statements, we expect to provide you with a separate letter concerning any material weaknesses in accounting and internal control systems which come to our notice.

Responsibilities of the directors

The directors are responsible for the calculation of the public interest score in accordance with Regulation 26 of the Companies Regulations, 2011. The entity's public interest score should be calculated by the directors at year-end for the current financial year. It is the sole responsibility of the directors to determine the appropriateness of an audit engagement in the circumstances of the company, in compliance with the requirements of the Companies Act, 2008, and taking cognizance of any other requirements or agreements that may be applicable to the company.

Our audit will be conducted on the basis that you acknowledge and understand that you have responsibility:

- For the preparation and fair presentation of the financial statements in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) and the requirements of the Companies Act of South Africa;
- For such internal control as you determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
- To provide us with access to all information of which you are aware that is relevant to the preparation of the financial statements, such as records, documentation and other matters,

[COMPANY NAME]

MINUTES OF THE ANNUAL GENERAL MEETING OF DIRECTORS OF THE COMPANY HELD AT [VENUE] ON [DATE].

PRESENT:

(Directors present should cross out their own name above to confirm attendance.)

The directors hereby decide unanimously that:

It was resolved that the annual financial statements for the year ended [YEAR END] (to be laid before the company at the forthcoming annual general meeting) and as now submitted for approval by the board of directors, be hereby approved both as to contents and as to form.

It was resolved that the form and content of the report by the directors, pursuant to the Companies Act and as now submitted for the approval of the board of directors, be hereby approved and adopted for the said purpose.

It was resolved that any two of the directors of the company are hereby authorized to sign the aforesaid annual financial statements and directors' report, and copies thereof, for and on behalf of the board.

It was then recorded that, to the best knowledge of the directors, all assets and liabilities and contingent liabilities have been recorded in the financial statements. The directors are of the opinion that none of the assets had (at date of the balance sheet and on realization in the ordinary course of the company's business), a value less than the amounts at which they are stated in the balance sheet.

It was resolved that the forthcoming annual general meeting of the company be held on _____.

Since all business is concluded, the meeting is adjourned.

We, the undersigned directors, attended the above meeting and confirm that the minutes, as stated above, is a correct version of the proceedings.

_____

[COMPANY NAME]

MINUTES OF THE ANNUAL GENERAL MEETING OF SHAREHOLDERS OF THE COMPANY HELD AT [VENUE] ON [DATE].

PRESENT: [SHAREHOLDER NAMES]

QUORUM AND NOTICE

As the necessary quorum was present, the chairman declared the meeting properly constituted and the notice convening the meeting was with the consent of the shareholders, taken as read.

The minutes of the previous annual general meeting were taken as read and signed by the chairman as a correct record of the proceedings.

ADOPTION OF REPORT AND FINANCIAL STATEMENTS

The chairman stated that he had nothing further to add to the report of the directors for the year ended [YEAR END] and moved that the directors' report and financial statements for the year ended [YEAR END] be and they are hereby approved and adopted, and that all matters and business undertaken and discharged by the directors on behalf of the company be and they are hereby confirmed. The chairman's motion was seconded, put to the meeting and carried unanimously.

DIRECTORS

It was resolved that the present directors of the company are hereby re-appointed for the ensuing year. The directors' remuneration as set out in the financial statements is approved.

Since all business is concluded, the meeting is adjourned.

We, the undersigned shareholders, attended the above meeting and confirm that the minutes, as stated above, is a correct version of the proceedings.

_____

[SHAREHOLDER]

VDM Chartered Accountants

PO Box 450

Standerton

2430

Dear Sir

[COMPANY NAME]

In connection with your examination of the financial statements for the year ended on **[YEAR END]** we confirm to the best of our knowledge and belief that:

1. The financial statements fairly present the financial position and results of operations in conformity with International Financial Reporting Standards for Small and Medium-sized Entities.
2. All minutes of the meetings of the directors and committees (or summaries of actions of recent meetings for which minutes have not yet been prepared) and all financial and accounting records and related data have been made available to you.
3. We are not aware of any material accounts, transactions or agreement which are not fairly described and properly recorded in the accounting records, which could have any material effect on the financial statements.
4. We are not aware of:
    - any irregularities involving management or employees who have significant roles in the system of internal accounting control or any irregularities involving other employees which could have a material effect on the financial statements; or
    - any violations or possible violations of laws or regulations whose effect should be considered for disclosure in the financial statements or as a basis for recording a contingent loss.
5. Adequate provision not considered to be excessive, has been made for:
    - All known material liabilities, other than contingent liabilities in respect of which no actual liability is expected to arise, which existed at the balance sheet date;
    - all material losses expected to arise from events which had occurred by the statement of financial position date.
6. At the statement of financial position date, except as provided for or as noted in the financial statements, there were no material contingent liabilities.
7. Except as indicated in the financial statements:
    - none of the liabilities was secured, otherwise than by the operation of law, on any assets of the company
    - the assets reflected in the statement of financial position were owned by the company at the statement of financial position date, free of any charges in favour of third parties.
8. At the statement of financial position date: there were no commitments under contracts placed for capital expenditure or capital expenditure authorised by the directors which had not been contracted for which were not disclosed in the financial statements.
9. The method by which management proposes to finance commitments for any capital expenditure either contracted for or authorised is adequately disclosed in the financial statements.